

Syllabus for XMBA 201A

Managerial Economics

Fall 2026

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At its core, managerial success depends on making sound economic decisions. This course develops the tools of microeconomics for managers, with a focus on how to recognize and measure costs, assess demand, and make effective pricing choices. We will also explore how to approach uncertainty, evaluate trade-offs, and anticipate the actions of competitors in strategic settings.

The emphasis throughout is on applying economic reasoning to managerial problems. Through readings, case analyses, and class discussion, we will connect formal frameworks to real-world contexts, building intuition about how markets work and how firms can make disciplined decisions within them. By the end of the course, you will be equipped with a practical economic toolkit that informs pricing, resource allocation, and competitive behavior—skills that translate directly into stronger managerial judgment.

1 Office Hours and Contact information

- Professor Steve Tadelis: office F581
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2 Course Materials

All material will be posted on bCourses.

Textbooks

There is no **required** text. The goal is for the course to be self-contained and for you to be able to supplement what we cover in class with other sources. However, if for some of you the pace feels a

bit rushed then there are several good sources for reading and getting up to speed. First, featured online is a set of lecture notes by Professor Hermalin (*Lecture Notes for 201a*) matching closely several of the topics covered in this course, though often at a higher math level than we will need and is therefore optional.

Second, two friendly textbooks that covers much of the material in this course are:

- Managerial Economics (7/8/9th Ed.) by William Samuelson and Stephen Marks (Wiley)
- Microeconomics (4/5/6th Ed.) by David Besanko and Ronald Braeutigam (Wiley)

A good book for further reading about price discrimination and network economics is *Information Rules* by Carl Shapiro and Hal Varian (Harvard Business School Press, 1998), especially chapters 2–3. Even though this book may seem dated, it’s lessons are as relevant today as they were in the late 90s and some students may wish to explore the material covered in greater depth.

3 Schedule Information

3.1 Class Meetings (Mandatory)

The first class in Block 1 is on September 10, and the last meeting in Block 4 on November 14 (the in-person final exam). Per the school’s policies, class absences may be excused in the event of (1) death of a close family member or (2) personal illness. If one of these unfortunate events happens, please notify the academic office. If there is a different reason for an absence you must coordinate with the program office in advance and then with me to discuss impact and consequences, otherwise it will impact your participation grade.

3.2 Lectures and Readings Schedule

Disclaimer: This is a plan. It is potentially subject to change. Any changes will be announced with as much advanced notice as possible. It is more important to me that you understand what is covered while covering less, than that we cover everything. Likewise, if materials become available, especially topical materials “ripped from the headlines,” that are more pertinent or do a better job of teaching the material, I will substitute them.

All required readings are on bcourses. As discussed below, readings that are marked “(**Case**),” or “(**Article**),” must be read *prior* to class, and you should be ready to answer the case questions that will be posted ahead of time and discuss any relevant analysis in class. Handouts of the slides will be available on bCourses after class. If there is demand, some hard copies can be distributed during class as well, though I prefer to minimize printing if possible.

Block 1: Decision Analysis, Economic Costs and Introduction to Pricing

1. 9/10: Introduction and the Basics of Decision Making

- *Lecture notes for 201a*, Hermalin (H) pp. 1-26
- Samuelson & Marks (SM) [7th: Ch.1, Ch.7 to p. 295][8th: Ch.1, Ch.7 to p. 224] [9th: Ch.1, Ch.7 to p. 208]
- Besanko and Braeutigam (BB) Ch 2.1 Demand, supply, and market equilibrium [6e: 26-44; 5e: 26-45; 4e: 26-43]
- Ben Hermalin, “Something Rotten in Fenmark” (**Case**)
- Excel spreadsheet for “Something Rotten in Fenmark”

2. 9/11: Decision Making under Uncertainty and Introduction to Economic Costs

- H pp. 9-44
- SM, [7th: Ch.6 to p.255, Ch.12 to p.519, Ch.13 to p.544][8th: Ch.6 to p. 199, Ch.12 to p.394, Ch.13 to p. 418] [9th: Ch.6 to p. 199, Ch.13 to p.388, Ch.14 to p. 406]
- BB Ch. 15.4 Analyzing risky decisions [6e: 665-672; 5e: 633-639; 4e: 627-633]
- B. Hermalin, “Farms in Downtown Tokyo?!” (**Case - in class**)
- “Merck Pharma and Covid Vaccines” (**Case**)
- Loftus, “Why Merck Is Betting Big on One Cancer Drug,” *Wall Street Journal*, 4/16/2018 (**Article**)

3. 9/12: Accounting for Economic Costs and Introduction to Demand

- H pp. 45–50
- SM, [7th: Ch.6 to p.280][8th: Ch.6 to p. 213] [9th: Ch.6 to p. 197]
- BB Ch. 7.1 Cost concepts for decision making [6e:265-272; 5e: 251-257; 4e: 247-253]; Ch. 8 Cost curves (8.1-8.2) [6e:310-343; 5e: 289-319; 4e: 285-315]; 9.2 Economic profit versus accounting profit [6e:359-361; 5e: 336-338; 4e: 333-334]
- I. Bousquette “Thanks to Nvidia, AI Will Soon Take Your Order at Taco Bell and Pizza Hut,” *Wall Street Journal*, 3/18/25 (**Article**)
- S. Nassauer, “He Earns \$33 an Hour as a Costco Cashier. Now He’s a Millionaire.,” *WSJ* 7/8/26 (**Article**)
- Wong, C.H. “Chinese Solar Farms Are Crowding Out Much-Needed Crops,” *WSJ* 8/1/24 (**Article**)

- Kim, “Amazon’s new warehouse policy will penalize sellers for storing products too long,” *CNBC* 6/29/2018
(Article)

Block 2: Pricing

4. 10/1: Demand Elasticity and Price Setting by a Monopolist

- H pp. 51-79
- SM, [7th: Ch.3 to p. 103, pp. 319-329.][8th: Ch.3 to p. 77, pp. 244-252] [9th: Ch.3 to p. 69, pp. 227-234]
- BB Ch. 11 Monopoly (11.1-11.6) [6e: 468-505; 5e: 442-479; 4e: 438-475]
- Aeppel, “Changing the Formula: Seeking Perfect Prices, CEO Tears Up the Rules—Parker’s Washkewicz Weighs Market Power Of 800,000 Parts,” *Wall Street Journal*, 3/27/2007
- J. Williams “The Chocolate Company Where Prices Change Every Three Months,” *Wall Street Journal* 8/14/25
- Steele, “Why Empty Seats at Taylor Swift’s Concerts Are Good for Business,” *Wall Street Journal* 5/16/2018
- Whelan “Disney+ Users Paid Up When the Price Rose” *Wall Street Journal* 3/17/2023

5. 10/2: Advanced Pricing

- H pp. 81-112
- SM, [7th: pp. 99-103?][8th: pp. 78-81] [9th: pp. 69-72]
- BB Ch. 12 Capturing surplus (12.1, 12.2, 12.3, 12.4) [6e:515-543; 5e: 489-516; 4e: 485-512]
- A. Sider “Delta Gets Blowback for Using AI to Set Airfares,” *Wall Street Journal*, 8/3/2025
- McCarthy, “Costco Is Cracking Down on Membership Sharing,” *The New York Times* 6/28/2023
- Mattioli, “On Orbitz, Mac Users Steered To Pricier Hotels,” *Wall Street Journal*, 8/23/12
- Valdes-Dapena, “You can make your Mercedes EV go faster for \$60 a month,” *CNN Business*, 4/27/2023
- Torry, “Bowling for \$418? Surge Pricing Creeps Into Restaurants, Movies, Gym Class//” *Wall Street Journal*, 3/12/2023

Module IV: Long Run Market Dynamics

6. 10/22: Competitive Pricing, Market Supply and Competitive Market Dynamics

- SM, [7th: pp. 278-281][8th: Ch.7 to p. 225]
- BB 9.3-9.4 Short run and long run equilibrium [6e: 364-396; 5e: 341-371; 4e: 337-367]
- B. Hermalin, “Brand X” (**Case**)
- McWhirter, “Plywood Becomes Hot Item in Housing Recovery,” *Wall Street Journal*, 3/21/2013.
- R. Picciotto “How an NYC Suburb Is Actually Managing to Bring Rents Down,” *WSJ* 8/5/25
- V. Dagher and C. Otts “Saving Money on a Used Car Is Getting Harder,” *WSJ* 8/12/25
- N. Weger “ThredUp Gains Shoppers Weary of Economic Uncertainty,” *WSJ* 8/4/25

Module V: Market Strategy

7. 10/23: Introduction to Strategic Thinking and Auctions

- H pp. 127-133
- SM, [7th: pp.336-341, Ch. 10][8th: pp. 257-261, ch. 10] [9th: pp. 239-243, Ch. 10]
- BB 15.5 Auctions [6e: 672-681; 5e: 637-648; 4e: 627-639]
- BB Ch 14 Game Theory (14.1) [6e: 601-617, 622-628; 5e: 575-588, 594-600; 4e: 571-584, 590-596]
- The Editorial Board “Making Room for Airbnb - A new study highlights the benefits of disruptive competitors,” *Wall Street Journal*, 5/20/2019
- Mattioli, “Tyson Wins Bid Against Itself,” *Wall Street Journal*, 6/9/2014

8. 10/24: Bidding Behavior; Cut Throat Competition: The Bertrand Trap

- H pp. 139-148
- SM, [7th: pp. 368-375, Ch. 16][8th: pp. 282-287, Ch.13 pp. 429-437, Ch. 13] [9th: pp. 262-267, Ch.13 pp. 417-423, Ch. 18]
- N. Friedman “After the Fires, Bidding Wars and Cutthroat Demand Take Over L.A.’s Rental Market,” *Wall Street Journal*, 1/16/2025
- Faucon, “OPEC, Allies Stick to Production Plan as High Oil Prices Boost Economies,” *Wall Street Journal*, 5/5/2022
- Yu, “Semiconductor Shares Sink as Chip Stockpiles Grow,” *Wall Street Journal*, 7/21/2022
- R. Dolan, “Federated Industries” (**Case**)

Module VI: Asymmetric Information in Markets and Organizations

9. 11/12: Sequential Games, Vertical Relationships, Firm Boundaries and Contracting

- SM, [8th: Ch.14] [9th: Ch.15]
- J. Lee “Used-Car Sales Have Moved Online—Here’s Why Both Customers and Dealers Are Happy,” *WSJ* 4/26/24
- Sanders, “Boeing Tightens Its Grip on Dreamliner Production,” *Wall Street Journal*, 7/2/09
- SM, [8th: Ch.14] [9th: Ch.15]
- BB 15.3 Asymmetric Information: Moral Hazard and Adverse Selection [6e: 655-662; 5e: 626-633; 4e: 622-627]
- Carreyrou, “Study: Surgery Rate Higher When Implants Purchased From Doctors,” *Wall Street Journal*, 10/24/2013
- Toplensky, “Politics Could Speed Up Clean Energy. They May Also Slow It Down.” *Wall Street Journal*, 5/6/2022

4 Assignments and Other Deliverables

4.1 Problem Sets

Homework problem sets will be distributed via bCourses approximately every module. Answer sets will be distributed via bCourses and will be discussed in the TA office hours as needed. Problem sets are assigned so you can check and further develop your understanding. **These problems are extremely valuable aids to learning the material. In previous years, students who did not do the problem sets almost always performed poorly on the exam, in part because the problems are likely to reflect closely the style and type of question to be found on the exams.** You will hand in individual problem sets but are encouraged to work with your fellow students on them. *However, each student should try to solve each problem before engaging with others.* It’s easy to think you know something when someone else explains it to you...

The problem sets are graded at four levels: 3, 2, 1 and 0, matching to full credit, high partial, low partial, and not delivered.

4.2 Class Participation

A significant part of the instruction is case and discussion based, making class participation essential. For these discussions to be valuable, students must prepare in advance. In addition, performance in class discussions is also a way for me to assess your mastery of the material and your ability to apply it. For all these reasons, class participation will be graded.

Participation can also enliven lectures and students are encouraged to ask relevant questions or bring up relevant examples of topics under discussion. While a certain amount of participation is necessary for a good a grade on class participation, merely talking a lot is not sufficient for a good grade. Your grade will also depend on the *quality* of your participation both in cases and in lectures. And remember: step up and step back!

4.3 Exam

The final exam will be during the last class, Saturday November 14 from 8:30AM - 11:30AM.

4.4 Grading

Your grade will be based on class participation, problem sets, and a final exam. The letter grades for the course will follow a distribution that is aimed for core courses: **18% A, 22% A–, 28% B+, 22% B, and 10% B– or below.** The basis of your grade is as follows:

Problem Sets	30%
Class Participation	20%
Final Exam	50%

5 Attendance, Courtesy, and Preparation

Regular attendance and good preparation are prerequisites for being a valuable participant in the class. **The class will start promptly on time** and will run for the full 180 minutes, with one or two short breaks. **Arriving late or leaving early disrupts the class and lessens your contribution.**

As a courtesy to me and your fellow students please be sure that **your cell phones are switched off before class begins, and you don't have other disruptions in the background.** It is incredibly disruptive—to say nothing of insulting for whomever is speaking—for students to get up in the middle of the class to run errands (e.g., get a soda, food, etc.). So, please, no “errand running.” It is distracting for the students around you if you use your laptop computer or tablets. **Following requests from former students, I ask that you refrain from using laptops during the class,** except when called upon to present a case or fill a survey. Flat-lying tablets are fine, but try not to distract others with web searching or other non-class activities.

If you cannot come to class prepared, please let me know before class starts (otherwise you risk being called on). Note: Telling me you're unprepared does *not* mean that your lack of preparation won't count against your participation grade—it just keeps me from inadvertently embarrassing you in front of your peers.

6 How to Succeed in this Course

To help you learn the material, the course uses a number of different channels (readings, cases, problems, lectures, class discussion) and a variety of approaches (illustrations of business applications, theories, graphs, equations, business cases, applied problems). This gives students with different strengths multiple avenues through which to master the tools.

One path for successful preparation is: 1) Review basic concepts from each class using the lecture slides, recommended texts or any one of the close substitutes recommended above; 2) Do the assigned readings *before* lecture, keeping an eye open for useful problem-solving techniques; 3) In lecture, listen for key concepts, useful techniques for problem solving, and recent business applications; 4) If lost, ask the GSI or me for help *as soon as possible*—because material is cumulative, it is imperative that you maintain an understanding of the material as you go along; 5) Look over the current problem set for key applications to focus on and work the problem sets without looking at any answers; 6) Check your solutions against the answers—if you get it, you may choose to skip

office hours, otherwise attend them religiously; and 7) If you can do the problem sets on your own, you will generally be able to master the exams.

In class discussion, a limited number of concise and pertinent examples from your business experience of applications and extensions of some of the ideas presented in class may be useful. These help everyone understand how to apply some of these concepts in business. Bear in mind that we always start with simplified models when presenting new concepts. Everything we do can always be made more complex and more difficult, so there is no need to volunteer various permutations of this fact in class as the class works to get a solid grasp of the building blocks.

The core strategy course (taken in the spring) builds on material presented here to analyze strategic interactions. These concepts are also among the building blocks for a variety of courses in managerial accounting, finance, real estate, and marketing. For more sophisticated economic applications, see the electives offered on strategy, energy markets, corporate governance, and game theory for negotiations.

Ask “Plot Questions”

If you are not following what is happening in lecture, please feel extremely free, indeed obliged to say something like “Could you repeat that? I didn’t understand” or “I’m lost! Help!” Student silence is likely to be interpreted as “we understand completely and wish that you would pick up the pace.”